ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 04 - DIVERGENCE PHANTOMS

INTRODUCTION TO MOMENTUM DIVERGENCE PHANTOMS

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This teaching deals specifically with Momentum Divergence Phantoms and the Market Maker Trap.

- As a new trader, indicators were a source of false hope.

- Indicators are mathematically derived and measure the past.

- Price action, not indicators, dictates market movement.

- There's a paradigm shift: when price indicates it wants to go higher, the indicator often suggests it's running out of momentum or reversing.

INDICATORS VS. MARKET MAKERS AND LIQUIDITY

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Indicators have no reflection on future market movement; price has no awareness of indicators.

- We reverse-engineer this thought process using the market efficiency paradigm.

- Liquidity can be engineered or neutralized by market makers.

- Market makers draw traders into or out of the market, unseating them to assume positions or placing them on the wrong side.

- This is achieved by engineering liquidity runs, then taking the market the opposite direction.

Using the USDCAD one-hour chart, specifically November 10th and 11th, we observe price making a slightly higher high while momentum already posted a potential bearish divergence.

- Two types of divergence:

- Type One Divergence: Classic higher high in price not seen in momentum (bearish), or lower low in price with failure to go lower in momentum (bullish).

- Type Two Divergence (Hidden/Trend Following): A higher low in price with a lower low in the stochastic (for bullish continuation) or a lower high in price with a higher high in the stochastic (for bearish continuation). This type was popularized by Nick Van Nice, not George Lane.

RETAIL MINDSET AND INDICATOR-BASED TRADING

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This teaching focuses on how retail-minded traders think about price based on indicators.

- Retail traders are taught that indicator-based trading is the way to go, often neglecting price action study.

- Indicators lead traders to look for four conditions:

  - Overbought or oversold.

  - Overbought and diverging bearishly.

  - Oversold and diverging bullishly.

- A fifth condition, often overlooked, is whether there's an actual time to be trading, as markets consolidate.

- Example: A retail trader seeing a higher high in price and a failing indicator (bearish divergence) would look to short.

THE MARKET MAKER TRAP: USDCAD EXAMPLE

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Understanding what is known now, there's liquidity above the observed high; price won't stay close without running that high.

- If bearish divergence is seen but there's liquidity above, smart money anticipates a different move.

- In the example: price drops, clearing equal lows, dips into a bullish order block (mean threshold).

- Indicator-focused traders will see this as a solid bearish divergence, expecting lower prices.

- Price action based traders, however, recognize this as a buy opportunity, targeting the equal high and liquidity above.

Price consolidates, then rallies up, making another tap against the high.

- Instead of rejection, observe the price action:

  - A low directly related to a stochastic cycle.

- A higher low in price with a lower low on stochastic: this is hidden divergence (Type 2, trend-following bullish).

- This powerful scenario, when qualified by price action, counters the bearish divergence narrative.

- Indicators create a mythology of picking tops and bottoms, which often fails in real-time trading.

- Indicators are mathematically derived from past data; they have zero bearing on actual order flow (UBS, Credit Suisse, City don't use them).

Recall the Market Efficiency Paradigm:

- Retail views price through the context of indicators (buy/sell, overbought/oversold).

- Market makers manipulate decisions based on retail thought processes (what they should be seeing).

- Funds, while generally trend-following, can have their long-term systems targeted, especially in consolidations or at market tops.

- Aggressive funds selling short at a top might get stopped out, creating reluctance, but smarter fund traders re-enter.

TWO CAMPS OF DIVERGENCE INTERPRETATION

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Two camps exist when looking at divergence:

- Retail traders: See a higher high and subsequent lower movement, confirming a captured top (bearish divergence).

  - They look for entries at lows/highs without specific targets, hoping for continuous movement.

- Price action traders: Recognize the bearish divergence setup as a trap.

  - Expect a retracement to an order block to sweep sell stops.

  - The market will then rally, invalidating the bearish divergence assumption.

- Price has no awareness of divergence, but markets are uncannily aware of collective trader thought processes, reflected in their orders and excitement around levels.

ANTICIPATING PRICE MOVEMENT WITH HIDDEN DIVERGENCE

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Anticipate price moving higher, not on classic bullish divergence (lower low in price, higher low in indicator), but on hidden divergence.

- Observe a higher low in price relative to a previous low, but with momentum (stochastic) cycling lower.

- This Type 2 hidden bullish divergence is trend-following in nature.

- Expect price to then move above the previous high, which it did in the USDCAD example.

- Retail traders were 'left holding the bag' by misinterpreting the bearish divergence.

USDCHF EXAMPLE: DIVERGENCE PHANTOM AS A TRAP

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On the USDCHF hourly chart, another scenario where price made a strong rally, potentially forming a Type 1 bearish divergence.

- Retail traders see a higher high in price not reflected in stochastic (crossing down), signaling lower prices.

- Price action traders anticipate consolidation/retracement.

- Retail expects price to drop below previous lows (classic support/resistance) and for stochastic to also make lower lows.

- They target classic support levels based on textbooks and divergence principles, believing they caught a top.

We identify the last down candle prior to the up move, which forms a bullish order block.

- We expect price to trade down into the body of this candle (not necessarily the wick).

- Specifically, look at the candle's range from its wick to its open.

- Expect price to cycle down, and the stochastic to trade lower than its previous low.

- However, price itself should not violate the middle of that candle's body (e.g., 96.45 to 96.40 for a low end).

- Institutional order flow supports higher prices; they will want to 'close' the range by moving higher, sweeping sell-side liquidity above.

FORECASTING AND TARGETING WITH COUNTER-RETAIL MINDSET

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We use support/resistance ideas but diametrically oppose the retail mindset.

- After price drops into the order block, we look for a move up to sweep old highs and fill sell-side liquidity.

- This combines prognostication (forecasting the institutional move) and targeting.

- Example: Going long around 96.45 with an exit around 97.08.

- Retail thinks it's a top, selling off, breaking lows and retesting support.

- We expect stochastic to drop below its previous low, but price will hold the order block low and rally higher to close the range.

USDCHF EXECUTION AND OUTCOME

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The candle's low hits 96.45, followed by a strong reaction and rally.

- This is totally different from retail expectations.

- Observe: a higher low in price relative to the previous low, combined with a lower low in stochastic.

- This is the Type 2 hidden bullish divergence in action.

- Price blows through the previous equal highs (97.60, 97.28), confirming the liquidity run.

RECURRING DIVERGENCE PHANTOMS

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This is an example of divergence phantoms, where scenarios lead to opposite outcomes for new traders.

- Price dips into another order block, clearing sell stops, then rallies.

- Another bearish divergence appears (higher high in price, lower high in stochastic).

- Retail would expect a bearish move, but again, Type 2 trend-following occurs: lower low in stochastic with a higher low in price, leading to upside continuation.

- Even more bearish divergence setups appear, but price continues higher before eventually giving a sell-off.

CONCLUSION: HOW TO USE INDICATORS

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Indicators are not the answer for profitable trading.

- If you choose to use indicators while learning ICT concepts, use them only with this basis in mind:
  - Draw a contrasting view to understand what the retail minds are thinking.
  - Simultaneously identify reasons from institutional order flow that suggest the opposite outcome.
- If you can do this, you have a significant edge.